to Rs. 45,000 crore. In India, these shares will be classified as *large cap shares.* Thus, classification of shares into large-caps, mid-cap and small-cap is made on the basis of the relative size of market in a country. The total market capitalisation of US markets is $15 trillion. In India, the market capitalisation of listed companies is around $600 billion.

The theory is that large-cap shares have lesser growth potential since the turnover and profits of large companies are already high in the context of that particular market. On the other hand, mid-cap shares are considered an attractive avenue for investing because their growth rate should be faster. It is analogous to investing in an emerging market, like India, as compared to a mature market. However, on the flip side, mid-cap shares are of small companies where revenue and profits could be more volatile than large companies. At the same time, the availability of shares for trading in the secondary market is also limited in comparison to large-cap shares.

The *free float factor*, as it is called, is a key to active trading in shares since investors want an easy entry and exit. Typically, the promoter holding in these companies is high and there is very little public shareholding. Thus, a volatile financial performance and an inadequate free-float make investing in mid-cap shares more risky than big company shares. Moreover, the faster growth argument is obviously a generalisation which may or may not hold for individual companies.

The National Stock Exchange manages an index called CNX Midcap 200. The objective of such an index is to capture the movement in the mid-cap shares segment. According to the NSE, CNX Midcap 200 represents about 77 per cent of the total market capitalisation of the mid-cap universe and 75 per cent of the total trade value. This index provides investors a broad-based benchmark for comparing portfolio returns in the mad-cap segment.

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